



Bill Number: H.B. 2946

Bolick Floor Amendment

**Reference to: REGULATORY AFFAIRS
AND GOVERNMENT EFFICIENCY**

Committee amendment

Amendment drafted by: Leg. Council

FLOOR AMENDMENT EXPLANATION

1. Specifies that a municipality may not distinguish between single-family residential developments on the basis of the size of the residential dwelling unit or number of bedrooms unless the municipality adopted such development fees before the effective date.
2. Allows the municipality to continue to make the prescribed distinction on unit size and number of bedrooms in subsequent updates to the assessed development fees if a municipality adopted the development fees before the effective date.

BOLICK FLOOR AMENDMENT
SENATE AMENDMENTS TO H.B. 2946

(Reference to REGULATORY AFFAIRS AND GOVERNMENT EFFICIENCY Committee amendment)

Amendment instruction key:

[GREEN UPPERCASE UNDERLINING IN BRACKETS] indicates that the amendment is adding text to statute

or previously enacted session law.

[Green lowercase underlining in brackets] indicates that the amendment is adding text to new session law or is restoring previously stricken text to existing statute.

~~[GREEN UPPERCASE STRIKEOUT IN BRACKETS]~~ indicates that the amendment is removing new text from statute or previously enacted session law.

~~[Green lowercase strikeout in brackets]~~ indicates that the amendment is removing text from existing statute, previously enacted session law or new session law.

<<Double green carets enclosing an entire section>> indicates that the amendment is adding the section to the bill.

~~<<Green strikeout with double green carets enclosing an entire section>>~~ indicates that the amendment is removing the section to the bill.

{{ORANGE UPPERCASE UNDERLINING IN DOUBLE CURLY BRACKETS}} indicates that the amendment to an amendment is adding text to statute or previously enacted session law.

{{Orange lowercase underlining in double curly brackets}} indicates that the amendment to an amendment is adding text to new session law or is restoring previously stricken text to existing statute.

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≤≤Double orange underlined carets enclosing an entire section≥≥ indicate that the amendment to an amendment is adding the section to the bill.

~~≤≤Orange strikeout with double orange underlined carets enclosing an entire section≥≥~~ indicates that the amendment to an amendment is removing the section from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Section 9-463.05, Arizona Revised Statutes, is amended
3 to read:

4 9-463.05. Development fees; imposition by cities and towns;
5 infrastructure improvements plan; annual report;
6 advisory committee; limitation on actions;
7 definitions

8 A. A municipality may assess development fees to offset costs to
9 the municipality associated with providing necessary public services to a
10 development, including the costs of infrastructure, improvements, real
11 property, engineering and architectural services, financing and
12 professional services required for the preparation or revision of a
13 development fee pursuant to this section, including the relevant portion
14 of the infrastructure improvements plan.

15 B. Development fees assessed by a municipality under this section
16 are subject to the following requirements:

1 1. Development fees shall result in a beneficial use to the
2 development.

3 2. The municipality shall calculate the development fee based on
4 the infrastructure improvements plan adopted pursuant to this section.

5 3. The development fee shall not exceed a proportionate share of
6 the cost of necessary public services, based on service units, needed to
7 provide necessary public services to the development.

8 4. Costs for necessary public services made necessary by new
9 development shall be based on the same level of service provided to
10 existing development in the service area.

11 5. Development fees may not be used for any of the following:

12 (a) Construction, acquisition or expansion of public facilities or
13 assets other than necessary public services or facility expansions
14 identified in the infrastructure improvements plan.

15 (b) Repair, operation or maintenance of existing or new necessary
16 public services or facility expansions.

17 (c) Upgrading, updating, expanding, correcting or replacing
18 existing necessary public services to serve existing development in order
19 to meet stricter safety, efficiency, environmental or regulatory
20 standards.

21 (d) Upgrading, updating, expanding, correcting or replacing
22 existing necessary public services to provide a higher level of service to
23 existing development.

24 (e) Administrative, maintenance or operating costs of the
25 municipality.

26 6. Any development for which a development fee has been paid is
27 entitled to the use and benefit of the services for which the fee was
28 imposed and is entitled to receive immediate service from any existing
29 facility with available capacity to serve the new service units if the
30 available capacity has not been reserved or pledged in connection with the
31 construction or financing of the facility.

32 7. Development fees may be collected if any of the following
33 occurs:

34 (a) The collection is made to pay for a necessary public service or
35 facility expansion that is identified in the infrastructure improvements
36 plan and the municipality plans to complete construction and to have the
37 service available within the time period established in the infrastructure
38 ~~improvement~~ IMPROVEMENTS plan, but in no event longer than the time period
39 provided in subsection ~~H~~ I, paragraph 3 of this section.

40 (b) The municipality reserves in the infrastructure improvements
41 plan adopted pursuant to this section or otherwise agrees to reserve
42 capacity to serve future development.

43 (c) The municipality requires or agrees to allow the owner of a
44 development to construct or finance the necessary public service or
45 facility expansion and any of the following ~~apply~~ APPLIES:

46 (i) The costs incurred or money advanced are credited against or
47 reimbursed from the development fees otherwise due from a development.

1 (ii) The municipality reimburses the owner for those costs from the
2 development fees paid from all developments that will use those necessary
3 public services or facility expansions.

4 (iii) For those costs incurred the municipality allows the owner to
5 assign the credits or reimbursement rights from the development fees
6 otherwise due from a development to other developments for the same
7 category of necessary public services in the same service area.

8 8. Projected interest charges and other finance costs may be
9 included in determining the amount of development fees only if the monies
10 are used for the payment of principal and interest on the portion of the
11 bonds, notes or other obligations issued to finance construction of
12 necessary public services or facility expansions identified in the
13 infrastructure improvements plan.

14 9. Monies received from development fees assessed pursuant to this
15 section shall be placed in a separate fund and accounted for separately
16 and may only be used for the purposes authorized by this section. Monies
17 received from a development fee identified in an infrastructure
18 improvements plan adopted or updated pursuant to subsection D of this
19 section shall be used to provide the same category of necessary public
20 services or facility expansions for which the development fee was assessed
21 and for the benefit of the same service area, as defined in the
22 infrastructure improvements plan, in which the development fee was
23 assessed. Interest earned on monies in the separate fund shall be
24 credited to the fund.

25 10. The schedule for payment of fees shall be provided by the
26 municipality. Based on the cost identified in the infrastructure
27 improvements plan, the municipality shall provide a credit toward the
28 payment of a development fee for the required or agreed to dedication of
29 public sites, improvements and other necessary public services or facility
30 expansions included in the infrastructure improvements plan and for which
31 a development fee is assessed, to the extent the public sites,
32 improvements and necessary public services or facility expansions are
33 provided by the developer. The developer of residential dwelling units
34 shall be required to pay development fees when construction permits for
35 the dwelling units are issued, or at a later time if specified in a
36 development agreement pursuant to section 9-500.05. If a development
37 agreement provides for fees to be paid at a time later than the issuance
38 of construction permits, the deferred fees shall be paid no later than
39 fifteen days after the issuance of a certificate of occupancy. The
40 development agreement shall provide for the value of any deferred fees to
41 be supported by appropriate security, including a surety bond, letter of
42 credit or cash bond.

43 11. If a municipality requires as a condition of development
44 approval the construction or improvement of, contributions to or
45 dedication of any facilities that were not included in a previously
46 adopted infrastructure improvements plan, the municipality shall cause the
47 infrastructure improvements plan to be amended to include the facilities
48 and shall provide a credit toward the payment of a development fee for the
49 construction, improvement, contribution or dedication of the facilities to

1 the extent that the facilities will substitute for or otherwise reduce the
2 need for other similar facilities in the infrastructure improvements plan
3 for which development fees were assessed.

4 12. The municipality shall forecast the contribution to be made in
5 the future in cash or by taxes, fees, assessments or other sources of
6 revenue derived from the property owner towards the capital costs of the
7 necessary public service covered by the development fee and shall include
8 these contributions in determining the extent of the burden imposed by the
9 development. ~~Beginning August 1, 2014,~~ For purposes of calculating the
10 required offset to development fees pursuant to this subsection, if a
11 municipality imposes a construction contracting or similar excise tax rate
12 in excess of the percentage amount of the transaction privilege tax rate
13 imposed on the majority of other transaction privilege tax
14 classifications, the entire excess portion of the construction contracting
15 or similar excise tax shall be treated as a contribution to the capital
16 costs of necessary public services provided to development for which
17 development fees are assessed, unless the excess portion was already taken
18 into account for such purpose pursuant to this subsection.

19 13. If development fees are assessed by a municipality, the fees
20 shall be assessed against commercial, residential and industrial
21 development. ~~, except that~~ The municipality may distinguish between
22 different categories of residential, commercial and industrial development
23 in assessing the costs to the municipality of providing necessary public
24 services to new development and in determining the amount of the
25 development fee applicable to the category of development, EXCEPT THAT THE
26 MUNICIPALITY MAY NOT DISTINGUISH BETWEEN SINGLE-FAMILY RESIDENTIAL
27 DEVELOPMENTS ON THE BASIS OF THE SIZE OF THE RESIDENTIAL DWELLING UNIT OR
28 NUMBER OF BEDROOMS {{UNLESS THE MUNICIPALITY ADOPTED SUCH DEVELOPMENT FEES
29 BEFORE THE EFFECTIVE DATE OF THIS AMENDMENT TO THIS SECTION. IF A
30 MUNICIPALITY ADOPTED DEVELOPMENT FEES THAT ARE BASED ON THE SIZE OF THE
31 RESIDENTIAL DWELLING UNIT OR THE NUMBER OF BEDROOMS BEFORE THE EFFECTIVE
32 DATE OF THIS AMENDMENT TO THIS SECTION, THE MUNICIPALITY MAY CONTINUE TO
33 MAKE THIS DISTINCTION IN SUBSEQUENT UPDATES TO THE DEVELOPMENT FEES THAT
34 ARE ASSESSED BY THE MUNICIPALITY}}}. If a municipality agrees to waive any
35 of the development fees assessed on a development, the municipality shall
36 reimburse the appropriate development fee accounts for the amount that was
37 waived. The municipality shall provide notice of any such waiver to the
38 advisory committee established pursuant to subsection ~~H~~ H of this section
39 within thirty days.

40 14. In determining and assessing a development fee applying to land
41 in a community facilities district established under title 48, chapter 4,
42 article 6, the municipality shall take into account all public
43 infrastructure provided by the district and capital costs paid by the
44 district for necessary public services and shall not assess a portion of
45 the development fee based on the infrastructure or costs.

46 C. A municipality shall give at least thirty days' advance notice
47 of intention to assess a development fee and shall release to the public
48 and post on its website or the website of an association of cities and
49 towns if a municipality does not have a website a written report of the

1 land use assumptions and infrastructure improvements plan adopted pursuant
2 to subsection D of this section. The municipality shall conduct a public
3 hearing on the proposed development fee at any time after the expiration
4 of the thirty day notice of intention to assess a development fee and at
5 least thirty days before the scheduled date of adoption of the fee by the
6 governing body. Within sixty days after the date of the public hearing on
7 the proposed development fee, a municipality shall approve or disapprove
8 the imposition of the development fee. A municipality shall not adopt an
9 ordinance, order or resolution approving a development fee as an emergency
10 measure. A development fee assessed pursuant to this section shall not be
11 effective until seventy-five days after its formal adoption by the
12 governing body of the municipality. Nothing in this subsection shall
13 affect any development fee adopted before July 24, 1982.

14 D. Before the adoption or amendment of a development fee, the
15 governing body of the municipality shall adopt or update the land use
16 assumptions and infrastructure improvements plan for the designated
17 service area. The municipality shall conduct a public hearing on the land
18 use assumptions and infrastructure improvements plan at least thirty days
19 before the adoption or update of the plan. The municipality shall release
20 the plan to the public, post the plan on its website or the website of an
21 association of cities and towns if the municipality does not have a
22 website, including in the posting its land use assumptions, the time
23 period of the projections, a description of the necessary public services
24 included in the infrastructure improvements plan and a map of the service
25 area to which the land use assumptions apply, make available to the public
26 the documents used to prepare the assumptions and plan and provide public
27 notice at least sixty days before the public hearing, subject to the
28 following:

29 1. The land use assumptions and infrastructure improvements plan
30 shall be approved or disapproved within sixty days after the public
31 hearing on the land use assumptions and infrastructure improvements plan
32 and at least thirty days before the public hearing on the report required
33 by subsection C of this section. A municipality shall not adopt an
34 ordinance, order or resolution approving the land use assumptions or
35 infrastructure improvements plan as an emergency measure.

36 2. An infrastructure improvements plan shall be developed by
37 qualified professionals using generally accepted engineering and planning
38 practices pursuant to subsection E of this section.

39 3. A municipality shall update the land use assumptions and
40 infrastructure improvements plan at least every five years. The initial
41 five year period begins on the day the infrastructure improvements plan is
42 adopted. The municipality shall review and evaluate its current land use
43 assumptions and shall cause an update of the infrastructure improvements
44 plan to be prepared pursuant to this section.

45 4. Within sixty days after completion of the updated land use
46 assumptions and infrastructure improvements plan, the municipality shall
47 schedule and provide notice of a public hearing to discuss and review the
48 update and shall determine whether to amend the assumptions and plan.

1 5. A municipality shall hold a public hearing to discuss the
2 proposed amendments to the land use assumptions, the infrastructure
3 improvements plan or the development fee. The land use assumptions and
4 the infrastructure improvements plan, including the amount of any proposed
5 changes to the development fee per service unit, shall be made available
6 to the public on or before the date of the first publication of the notice
7 of the hearing on the amendments.

8 6. The notice and hearing procedures prescribed in paragraph 1 of
9 this subsection apply to a hearing on the amendment of land use
10 assumptions, an infrastructure improvements plan or a development fee.
11 Within sixty days after the date of the public hearing on the amendments,
12 a municipality shall approve or disapprove the amendments to the land use
13 assumptions, infrastructure improvements plan or development fee. A
14 municipality shall not adopt an ordinance, order or resolution approving
15 the amended land use assumptions, infrastructure improvements plan or
16 development fee as an emergency measure.

17 7. The advisory committee established under subsection ~~H~~ H of this
18 section shall file its written comments on any proposed or updated land
19 use assumptions, infrastructure improvements plan and development fees
20 before the fifth business day before the date of the public hearing on the
21 proposed or updated assumptions, plan and fees.

22 8. If, at the time an update as prescribed in paragraph 3 of this
23 subsection is required, the municipality determines that no changes to the
24 land use assumptions, infrastructure improvements plan or development fees
25 are needed, the municipality may as an alternative to the updating
26 requirements of this subsection publish notice of its determination on its
27 website and include the following:

28 (a) A statement that the municipality has determined that no change
29 to the land use assumptions, infrastructure improvements plan or
30 development fee is necessary.

31 (b) A description and map of the service area in which an update
32 has been determined to be unnecessary.

33 (c) A statement that by a specified date, which shall be at least
34 sixty days after the date of publication of the first notice, a person may
35 make a written request to the municipality requesting that the land use
36 assumptions, infrastructure improvements plan or development fee be
37 updated.

38 (d) A statement identifying the person or entity to whom the
39 written request for an update should be sent.

40 9. If, by the date specified pursuant to paragraph 8 of this
41 subsection, a person requests in writing that the land use assumptions,
42 infrastructure improvements plan or development fee be updated, the
43 municipality shall cause, accept or reject an update of the assumptions
44 and plan to be prepared pursuant to this subsection.

45 10. Notwithstanding the notice and hearing requirements for
46 adoption of an infrastructure improvements plan, a municipality may amend
47 an infrastructure improvements plan adopted pursuant to this section
48 without a public hearing if the amendment addresses only elements of
49 necessary public services in the existing infrastructure improvements plan

1 and the changes to the plan will not, individually or cumulatively with
2 other amendments adopted pursuant to this subsection, increase the level
3 of service in the service area or cause a development fee increase of
4 greater than five ~~percent~~ PERCENT when a new or modified development fee
5 is assessed pursuant to this section. The municipality shall provide
6 notice of any such amendment at least thirty days before adoption, shall
7 post the amendment on its website or on the website of an association of
8 cities and towns if the municipality does not have a website and shall
9 provide notice to the advisory committee established pursuant to
10 subsection ~~G~~ H of this section that the amendment complies with this
11 subsection.

12 E. For each necessary public service that is the subject of a
13 development fee, the infrastructure improvements plan shall include:

14 1. A description of the existing necessary public services in the
15 service area and the costs to upgrade, update, improve, expand, correct or
16 replace those necessary public services to meet existing needs and usage
17 and stricter safety, efficiency, environmental or regulatory standards,
18 which shall be prepared by qualified professionals licensed in this state,
19 as applicable.

20 2. An analysis of the total capacity, the level of current usage
21 and commitments for usage of capacity of the existing necessary public
22 services, which shall be prepared by qualified professionals licensed in
23 this state, as applicable.

24 3. A description of all or the parts of the necessary public
25 services or facility expansions and their costs necessitated by and
26 attributable to development in the service area based on the approved land
27 use assumptions, including a forecast of the costs of infrastructure,
28 improvements, real property, financing, engineering and architectural
29 services, which shall be prepared by qualified professionals licensed in
30 this state, as applicable.

31 4. A table establishing the specific level or quantity of use,
32 consumption, generation or discharge of a service unit for each category
33 of necessary public services or facility expansions and an equivalency or
34 conversion table establishing the ratio of a service unit to various types
35 of land uses, including residential, commercial and industrial.

36 5. The total number of projected service units necessitated by and
37 attributable to new development in the service area based on the approved
38 land use assumptions and calculated pursuant to generally accepted
39 engineering and planning criteria.

40 6. The projected demand for necessary public services or facility
41 expansions required by new service units for a period not to exceed ten
42 years.

43 7. A forecast of revenues generated by new service units other than
44 development fees, which shall include estimated state-shared revenue,
45 highway ~~users~~ USER revenue, federal revenue, ad valorem property taxes,
46 construction contracting or similar excise taxes and the capital recovery
47 portion of utility fees attributable to development based on the approved
48 land use assumptions, and a plan to include these contributions in

1 determining the extent of the burden imposed by the development as
2 required in subsection B, paragraph 12 of this section.

3 F. A municipality's development fee ordinance shall provide that a
4 new development fee or an increased portion of a modified development fee
5 ~~shall not be assessed against a development for twenty-four months after~~
6 ~~the date that the municipality issues the final approval for a commercial,~~
7 ~~industrial or multifamily development or the date that the first building~~
8 ~~permit is issued for a residential development pursuant to an approved~~
9 ~~site plan or subdivision plat, provided that no subsequent changes are~~
10 ~~made to the approved site plan or subdivision plat that would increase the~~
11 ~~number of service units. A RESIDENTIAL, COMMERCIAL, INDUSTRIAL OR~~
12 ~~MULTIFAMILY DEVELOPMENT FOR TWENTY-FOUR MONTHS AFTER THE EFFECTIVE DATE OF~~
13 ~~THE DEVELOPMENT FEE ORDINANCE THAT IMPOSES A NEW OR INCREASED DEVELOPMENT~~
14 ~~FEE IF NO SUBSEQUENT CHANGES ARE MADE TO THE APPROVED SITE PLAN OR FINAL~~
15 ~~SUBDIVISION PLAT THAT INCREASE THE NUMBER OF SERVICE UNITS.~~ If the number
16 of service units increases, the new or increased portion of a modified
17 development fee shall be limited to the amount attributable to the
18 additional service units. The twenty-four month period shall not be
19 extended by a renewal or amendment of the site plan or the final
20 subdivision plat that was the subject of the final approval.

21 G. The municipality shall issue, on request, a written statement of
22 the development fee schedule applicable to the development. If, after the
23 date of the municipality's final approval of a development, the
24 municipality reduces the development fee assessed on development, the
25 reduced fee shall apply to the development.

26 ~~G.~~ H. A municipality shall do one of the following:

27 1. Before the adoption of proposed or updated land use assumptions,
28 infrastructure improvements plan and development fees as prescribed in
29 subsection D of this section, the municipality shall appoint an
30 infrastructure improvements advisory committee, subject to the following
31 requirements:

32 (a) The advisory committee shall be composed of at least five
33 members who are appointed by the governing body of the municipality. At
34 least fifty ~~per cent~~ PERCENT of the members of the advisory committee must
35 be representatives of the real estate, development or building industries,
36 of which at least one member of the committee must be from the home
37 building industry. Members shall not be employees or officials of the
38 municipality.

39 (b) The advisory committee shall serve in an advisory capacity and
40 shall:

41 (i) Advise the municipality in adopting land use assumptions and in
42 determining whether the assumptions are in conformance with the general
43 plan of the municipality.

44 (ii) Review the infrastructure improvements plan and file written
45 comments.

46 (iii) Monitor and evaluate implementation of the infrastructure
47 improvements plan.

48 (iv) Every year file reports with respect to the progress of the
49 infrastructure improvements plan and the collection and expenditures of

1 development fees and report to the municipality any perceived inequities
2 in implementing the plan or imposing the development fee.

3 (v) Advise the municipality of the need to update or revise the
4 land use assumptions, infrastructure improvements plan and development
5 fee.

6 (c) The municipality shall make available to the advisory committee
7 any professional reports with respect to developing and implementing the
8 infrastructure improvements plan.

9 (d) The municipality shall adopt procedural rules for the advisory
10 committee to follow in carrying out the committee's duties.

11 2. In lieu of creating an advisory committee pursuant to paragraph
12 1 of this subsection, provide for a biennial certified audit of the
13 municipality's land use assumptions, infrastructure improvements plan and
14 development fees. An audit pursuant to this paragraph shall be conducted
15 by one or more qualified professionals who are not employees or officials
16 of the municipality and who did not prepare the infrastructure
17 improvements plan. The audit shall review the progress of the
18 infrastructure improvements plan, including the collection and
19 expenditures of development fees for each project in the plan, and
20 evaluate any inequities in implementing the plan or imposing the
21 development fee. The municipality shall post the findings of the audit on
22 the municipality's website or the website of an association of cities and
23 towns if the municipality does not have a website and shall conduct a
24 public hearing on the audit within sixty days of the release of the audit
25 to the public.

26 ~~H.~~ I. On written request, an owner of real property for which a
27 development fee has been paid after July 31, 2014 is entitled to a refund
28 of a development fee or any part of a development fee if:

29 1. Pursuant to subsection B, paragraph 6 of this section, existing
30 facilities are available and service is not provided.

31 2. The municipality has, after collecting the fee to construct a
32 facility when service is not available, failed to complete construction
33 within the time period identified in the infrastructure improvements plan,
34 but in no event later than the time period specified in paragraph 3 of
35 this subsection.

36 3. For a development fee other than a development fee for water or
37 wastewater facilities, any part of the development fee is not spent as
38 authorized by this section within ten years after the fee has been paid
39 or, for a development fee for water or wastewater facilities, any part of
40 the development fee is not spent as authorized by this section within
41 fifteen years after the fee has been paid.

42 ~~I.~~ J. If the development fee was collected for the construction of
43 all or a portion of a specific item of infrastructure, and on completion
44 of the infrastructure the municipality determines that the actual cost of
45 construction was less than the forecasted cost of construction on which
46 the development fee was based and the difference between the actual and
47 estimated cost is greater than ten ~~per cent~~ PERCENT, the current owner may
48 receive a refund of the portion of the development fee equal to the
49 difference between the development fee paid and the development fee that

1 would have been due if the development fee had been calculated at the
2 actual construction cost.

3 ~~J.~~ K. A refund shall include any interest earned by the
4 municipality from the date of collection to the date of refund on the
5 amount of the refunded fee. All refunds shall be made to the record owner
6 of the property at the time the refund is paid. If the development fee is
7 paid by a governmental entity, the refund shall be paid to the
8 governmental entity.

9 ~~K.~~ L. A development fee that was adopted before January 1, 2012
10 may continue to be assessed only to the extent that it will be used to
11 provide a necessary public service for which development fees can be
12 assessed pursuant to this section and shall be replaced by a development
13 fee imposed under this section on or before August 1, 2014. Any
14 municipality having a development fee that has not been replaced under
15 this section on or before August 1, 2014 shall not collect development
16 fees until the development fee has been replaced with a fee that complies
17 with this section. Any development fee monies collected before January 1,
18 2012 remaining in a development fee account:

19 1. Shall be used towards the same category of necessary public
20 services as authorized by this section.

21 2. If development fees were collected for a purpose not authorized
22 by this section, shall be used for the purpose for which they were
23 collected on or before January 1, 2020, and after which, if not spent,
24 shall be distributed equally among the categories of necessary public
25 services authorized by this section.

26 ~~L.~~ M. A moratorium shall not be placed on development for the sole
27 purpose of awaiting completion of all or any part of the process necessary
28 to develop, adopt or update development fees.

29 ~~M.~~ N. In any judicial action interpreting this section, all powers
30 conferred on municipal governments in this section shall be narrowly
31 construed to ensure that development fees are not used to impose on new
32 residents a burden all taxpayers of a municipality should bear equally.

33 ~~N.~~ O. Each municipality that assesses development fees shall
34 submit an annual report accounting for the collection and use of the fees
35 for each service area. The annual report shall include the following:

36 1. The amount assessed by the municipality for each type of
37 development fee.

38 2. The balance of each fund maintained for each type of development
39 fee assessed as of the beginning and end of the fiscal year.

40 3. The amount of interest or other earnings on the monies in each
41 fund as of the end of the fiscal year.

42 4. The amount of development fee monies used to repay:

43 (a) Bonds issued by the municipality to pay the cost of a capital
44 improvement project that is the subject of a development fee assessment,
45 including the amount needed to repay the debt service obligations on each
46 facility for which development fees have been identified as the source of
47 funding and the time frames in which the debt service will be repaid.

48 (b) Monies advanced by the municipality from funds other than the
49 funds established for development fees in order to pay the cost of a

1 capital improvement project that is the subject of a development fee
2 assessment, the total amount advanced by the municipality for each
3 facility, the source of the monies advanced and the terms under which the
4 monies will be repaid to the municipality.

5 5. The amount of development fee monies spent on each capital
6 improvement project that is the subject of a development fee assessment
7 and the physical location of each capital improvement project.

8 6. The amount of development fee monies spent for each purpose
9 other than a capital improvement project that is the subject of a
10 development fee assessment.

11 ~~Q.~~ P. Within ninety days following the end of each fiscal year,
12 each municipality shall submit a copy of the annual report to the city
13 clerk and post the report on the municipality's website or the website of
14 an association of cities and towns if the municipality does not have a
15 website. Copies shall be made available to the public on request. The
16 annual report may contain financial information that has not been audited.

17 ~~P.~~ Q. A municipality that fails to file the report and post the
18 report on the municipality's website or the website of an association of
19 cities and towns if the municipality does not have a website as required
20 by this section shall not collect development fees until the report is
21 filed and posted.

22 ~~Q.~~ R. Any action to collect a development fee shall be commenced
23 within two years after the obligation to pay the fee accrues.

24 ~~R.~~ S. A municipality may continue to assess a development fee
25 adopted before January 1, 2012 for any facility that was financed before
26 June 1, 2011 if:

27 1. Development fees were pledged to repay debt service obligations
28 related to the construction of the facility.

29 2. After August 1, 2014, any development fees collected under this
30 subsection are used solely for the payment of principal and interest on
31 the portion of the bonds, notes or other debt service obligations issued
32 before June 1, 2011 to finance construction of the facility.

33 ~~S.~~ T. Through August 1, 2014, a development fee adopted before
34 January 1, 2012 may be used to finance construction of a facility and may
35 be pledged to repay debt service obligations if:

36 1. The facility that is being financed is a facility that is
37 described under subsection ~~T~~ V, paragraph 7, subdivisions (a) through ~~(g)~~
38 (e) of this section.

39 2. The facility was included in an infrastructure improvements plan
40 adopted before June 1, 2011.

41 3. The development fees are used for the payment of principal and
42 interest on the portion of the bonds, notes or other debt service
43 obligations issued to finance construction of the necessary public
44 services or facility expansions identified in the infrastructure
45 ~~improvement~~ IMPROVEMENTS plan.

46 U. A MUNICIPALITY MAY ASSESS DEVELOPMENT FEES ~~[FOR WATER AND~~
47 ~~WASTEWATER NECESSARY PUBLIC SERVICES]~~ ON THE DEVELOPMENT OF ~~[A DETACHED]~~
48 ~~ACCESSORY DWELLING [UNIT IF THE ADDITION OF ONE OR MORE DETACHED ACCESSORY~~
49 ~~DWELLING UNITS WOULD HAVE REQUIRED INSTALLING A LARGER UTILITY METER HAD~~

~~1 THE ADDITIONAL ACCESSORY DWELLING UNIT OR UNITS BEEN CONSTRUCTED
2 CONCURRENTLY WITH THE PRIMARY DWELLING UNIT WITH A SHARED UTILITY
3 METER. THE PROPORTIONATE SHARE OF THE DEVELOPMENT FEE FOR WATER AND
4 WASTEWATER SHALL BE THE DIFFERENCE BETWEEN THE CURRENT FEE-PER-METER SIZE
5 FOR THE PRIMARY DWELLING UNIT AND THE LARGER SIZE THAT IS NECESSARY TO
6 ACCOMMODATE THE DEVELOPMENT OF THE DETACHED ACCESSORY DWELLING UNIT OR
7 UNITS. THE TOTAL DEVELOPMENT FEES ASSESSED ON THE DEVELOPMENT OF A
8 DETACHED ACCESSORY DWELLING UNIT FOR ALL NECESSARY PUBLIC SERVICES OTHER
9 THAN WATER AND WASTEWATER SHALL NOT EXCEED THE LESSER OF TWENTY PERCENT OF
10 THE TOTAL DEVELOPMENT FEES FOR THOSE SAME NECESSARY PUBLIC SERVICES
11 APPLICABLE TO A SINGLE-FAMILY HOME OR THE DETACHED ACCESSORY DWELLING
12 UNIT'S PROPORTIONATE SHARE OF THOSE FEES AS PRESCRIBED BY SUBSECTION B,
13 PARAGRAPH 3 OF THIS SECTION. FOR THE PURPOSES OF THIS SUBSECTION,
14 "ACCESSORY DWELLING UNIT" HAS THE SAME MEANING PRESCRIBED IN SECTION
15 9-461.18.] [UNITS, AS FOLLOWS:~~

~~16 1. FOR WATER AND WASTEWATER, THE WATER AND WASTEWATER DEVELOPMENT
17 FEES ASSESSED FOR SUCH ACCESSORY DWELLING UNIT SHALL NOT EXCEED THE
18 INCREMENTAL INCREASE IN DEMAND CAUSED BY THE DEVELOPMENT OF EACH ACCESSORY
19 DWELLING UNIT WHETHER SERVED BY THE SAME WATER METER AS THE PRIMARY
20 DWELLING OR BY A SEPARATE WATER METER.~~

~~21 2. FOR DEVELOPMENT FEES ASSESSED ON THE DEVELOPMENT OF AN ACCESSORY
22 DWELLING UNIT FOR ALL NECESSARY PUBLIC SERVICES OTHER THAN WATER AND
23 WASTEWATER, THE DEVELOPMENT FEES ASSESSED FOR SUCH ACCESSORY DWELLING UNIT
24 SHALL NOT EXCEED THE LESSER OF TWENTY-FIVE PERCENT OF THE TOTAL
25 DEVELOPMENT FEES OR THE PROPORTIONATE SHARE FOR THOSE SAME NECESSARY
26 PUBLIC SERVICES APPLICABLE TO A SINGLE-FAMILY HOME.]~~

~~27~~ ~~+~~ V. For the purposes of this section:

28 1. "Dedication" means the actual conveyance date or the date an
29 improvement, facility or real or personal property is placed into service,
30 whichever occurs first.

31 2. "Development" means:

32 (a) The subdivision of land.

33 (b) The construction, reconstruction, conversion, structural
34 alteration, relocation or enlargement of any structure that adds or
35 increases the number of service units.

36 (c) Any use or extension of the use of land that increases the
37 number of service units.

38 3. "Facility expansion" means the expansion of the capacity of an
39 existing facility that serves the same function as an otherwise new
40 necessary public service in order that the existing facility may serve new
41 development. Facility expansion does not include the repair, maintenance,
42 modernization or expansion of an existing facility to better serve
43 existing development.

44 4. "Final approval" means:

45 (a) For a nonresidential or multifamily development, the approval
46 of a site plan or, if no site plan is submitted for the development, the
47 approval of a final subdivision plat.

48 (b) For a single family residential development, the approval of a
49 final subdivision plat.

1 5. "Infrastructure improvements plan" means a written plan that
2 identifies each necessary public service or facility expansion that is
3 proposed to be the subject of a development fee and otherwise complies
4 with the requirements of this section, and may be the municipality's
5 capital improvements plan.

6 6. "Land use assumptions" means projections of changes in land
7 uses, densities, intensities and population for a specified service area
8 over a period of at least ten years and pursuant to the general plan of
9 the municipality.

10 7. "Necessary public service" means any of the following facilities
11 that have a life expectancy of three or more years and that are owned and
12 operated by or on behalf of the municipality:

13 (a) Water facilities, including the supply, transportation,
14 treatment, purification and distribution of water, and any appurtenances
15 for those facilities.

16 (b) Wastewater facilities, including collection, interception,
17 transportation, treatment and disposal of wastewater, and any
18 appurtenances for those facilities.

19 (c) ~~Storm water~~ STORMWATER, drainage and flood control facilities,
20 including any appurtenances for those facilities.

21 (d) Library facilities of up to ten thousand square feet that
22 provide a direct benefit to development, not including equipment, vehicles
23 or appurtenances.

24 (e) Street facilities located in the service area, including
25 arterial or collector streets or roads that have been designated on an
26 officially adopted plan of the municipality, traffic signals and
27 rights-of-way and improvements thereon.

28 (f) Fire and police facilities, including all appurtenances,
29 equipment and vehicles. Fire and police facilities do not include a
30 facility or portion of a facility that is used to replace services that
31 were once provided elsewhere in the municipality, vehicles and equipment
32 used to provide administrative services, helicopters or airplanes or a
33 facility that is used for training firefighters or officers from more than
34 one station or substation.

35 (g) Neighborhood parks and recreational facilities on real property
36 up to thirty acres in area, or parks and recreational facilities larger
37 than thirty acres if the facilities provide a direct benefit to the
38 development. Park and recreational facilities do not include vehicles,
39 equipment or that portion of any facility that is used for amusement
40 parks, aquariums, aquatic centers, auditoriums, arenas, arts and cultural
41 facilities, bandstand and orchestra facilities, bathhouses, boathouses,
42 clubhouses, community centers greater than three thousand square feet in
43 floor area, environmental education centers, equestrian facilities, golf
44 course facilities, greenhouses, lakes, museums, theme parks, water
45 reclamation or riparian areas, wetlands, zoo facilities or similar
46 recreational facilities, but may include swimming pools.

47 (h) Any facility that was financed and that meets all of the
48 requirements prescribed in subsection ~~R~~ S of this section.

1 8. "Qualified professional" means a professional engineer,
2 surveyor, financial analyst or planner providing services within the scope
3 of the person's license, education or experience.

4 9. "Service area":

5 (a) Means any specified area within the boundaries of a
6 municipality in which development will be served by necessary public
7 services or facility expansions and within which a substantial nexus
8 exists between the necessary public services or facility expansions and
9 the development being served as prescribed in the infrastructure
10 improvements plan.

11 (b) INCLUDES THE SERVICE TERRITORY OF WATER OR WASTEWATER
12 FACILITIES, WHETHER INSIDE OR OUTSIDE OF THE BOUNDARIES OF THE
13 MUNICIPALITY, IF THE MUNICIPALITY PROVIDES WATER AND WASTEWATER SERVICES.

14 10. "Service unit" means a standardized measure of consumption,
15 use, generation or discharge attributable to an individual unit of
16 development calculated pursuant to generally accepted engineering or
17 planning standards for a particular category of necessary public services
18 or facility expansions.

19 Sec. 2. Section 9-499.15, Arizona Revised Statutes, is amended to
20 read:

21 9-499.15. Proposed new or increased municipal taxes and fees:
22 notification; exceptions

23 A. A municipality may not levy or assess any new taxes or fees or
24 increase existing taxes or fees pursuant to statute on a business without
25 complying with this section.

26 B. A municipality that proposes to levy or assess a tax or fee
27 shall:

28 1. Prepare a schedule of the proposed new or increased tax or fee
29 that includes the amount of the tax or fee and a written report or data
30 that supports the new or increased tax or fee. A copy of the report or
31 data shall be filed in the office of the clerk of the municipality.

32 2. If the proposed tax or fee is a new charge, provide written
33 notice of the proposed charge, the schedule of the proposed new charge and
34 the written report or data that supports the new charge on the home page
35 of the municipality's website at least sixty days before the date the
36 proposed new tax or fee is approved or rejected by the governing body of
37 the municipality.

38 3. If the municipality proposes to increase the rate of an existing
39 tax or fee on a business, provide written notice of the proposed increase,
40 the schedule of the proposed increased tax or fee and the written report
41 or data that supports the proposed increased tax or fee on the home page
42 of the municipality's website at least sixty days before the date the
43 proposed new rate is approved or rejected by the governing body of the
44 municipality.

45 4. Prepare a notice of intent to establish or increase taxes,
46 assessments or fees, including assessments levied pursuant to section
47 48-572, subsection B, paragraph 2. The notice of intent shall include the
48 date, time and place of the meeting of the governing body of the
49 municipality in which the proposed new or increased tax or fee will be

1 considered and a statement that a schedule of the proposed new or
2 increased tax or fee that includes the amount of the tax or fee and a
3 written report or data that supports the new or increased tax or fee is
4 available on the municipality's website. The notice of intent shall be
5 posted on the municipality's website at least fifteen days before the date
6 the proposed new or increased tax or fee will be approved or rejected by
7 the governing body of the municipality. If the municipality uses social
8 media or other electronic communication tools, the notice of intent shall
9 be distributed through the municipality's social media accounts or other
10 electronic communication tools.

11 C. At least seventy-five days before the date a municipality
12 proposes an ordinance to adopt or repeal a model or local option in the
13 model city tax code, the municipality shall request from the department of
14 revenue a list of all taxpayers within the municipality in the affected
15 tax classification. At least sixty days before the date the proposed
16 ordinance is approved or rejected by the governing body of the
17 municipality, the municipality shall notify by mail all taxpayers in the
18 affected tax classification of the proposed ordinance.

19 D. Subsection C of this section does not apply to ordinances that
20 do either of the following:

21 1. Impose a use tax or a model or local option to exempt a city or
22 town from use tax.

23 2. Impose a two-tiered tax rate structure for retail sales.

24 E. All departments, boards or other subdivisions of a municipality
25 that are authorized to establish or modify taxes or fees shall follow the
26 notice requirements prescribed in subsection B of this section before the
27 date of the entity's consideration of the new or increased tax or fee.

28 F. Technological issues that either prevent the posting of the
29 notice on the municipality's website or distribution of the notice through
30 social media or other electronic communication tools do not preclude the
31 governing body of the municipality from approving or rejecting the new or
32 increased tax or fee at the meeting provided on the notice of intent.

33 G. A municipality shall demonstrate that the taxes or fees are
34 imposed pursuant to statute.

35 H. Subsections A and B of this section do not apply to:

36 1. Any fee adopted pursuant to section 9-463.05.

37 2. Water and wastewater rates, FEES or rate components THAT ARE
38 ADOPTED PURSUANT TO SECTION 9-511.01.

39 3. Fees for registration-based classes, programs or activities
40 provided by the municipality.

41 4. Court fees established pursuant to state law.

42 5. Fees or charges established pursuant to federal law for public
43 housing or other federally funded programs.

44 6. Other fees whose amounts are set by state or federal law.

45 I. If information is made available relating to the fees provided
46 in subsection H of this section, that information shall be posted on the
47 municipality's website and, if the municipality uses social media or other
48 electronic communication tools, distributed through social media or other
49 electronic communication tools.

1 J. In addition to any other limitation that may be imposed by law,
2 a municipality shall not levy or impose an assessment, fee or tax on
3 hospital revenues, discharges, beds or services for the purpose of
4 receiving services or payments pursuant to title 36, chapter 29.

5 Sec. 3. Section 9-511.01, Arizona Revised Statutes, is amended to
6 read:

7 9-511.01. Water and wastewater business; rates; procedures;
8 responsibility for payments

9 A. A municipality engaging in a domestic water or wastewater
10 business shall not increase any water or wastewater rate or rate
11 component, fee or service charge without complying with the following:

12 1. Prepare a written report or supply data supporting the increased
13 rate or rate component, fee or service charge. The report or supporting
14 data shall include cash flow projections that indicate all anticipated
15 revenues from residential and nonresidential customers and the overall
16 expenses for providing water or wastewater service. A copy of the report
17 and cash flow projections shall be made available to the public by filing
18 a copy in the office of the clerk of the municipality governing board and
19 posting the report and cash flow projections on the municipality's website
20 or the website of an association of cities and towns if the municipality
21 does not have a website at least thirty days before the public hearing
22 described in paragraph 2 of this subsection.

23 2. Adopt a notice of intention by motion at a regular council
24 meeting to increase water or wastewater rates or rate components, fees or
25 service charges and set a date for a public hearing on the proposed
26 increase that shall be held at least sixty days after adoption of the
27 notice of intention. A copy of the notice of intention showing the date,
28 time and place of the hearing shall be published one time in a newspaper
29 of general circulation within the boundaries of the municipality not less
30 than twenty days before the public hearing date.

31 3. FOR THE PORTION OF A WATER OR WASTEWATER FEE THAT IS ADOPTED OR
32 INCREASED AFTER DECEMBER 31, 2026 TO FUND CAPITAL IMPROVEMENTS TO WATER OR
33 WASTEWATER FACILITIES THAT SERVE NEW GROWTH, ADOPT GROWTH-RELATED FEES AS
34 PRESCRIBED BY SECTION 9-463.05.

35 B. After holding the public hearing, the governing body may adopt,
36 by ordinance or resolution, the proposed rate or rate component, fee or
37 service charge increase or any lesser increase.

38 C. Notwithstanding section 19-142, subsection B, the increased rate
39 or rate component, fee or service charge shall become effective thirty
40 days after adoption of the ordinance or resolution.

41 D. Any proposed water or wastewater rate or rate component, fee or
42 service charge adjustment or increase shall be just and reasonable.

43 E. Rates and charges demanded or received by municipalities for
44 water and wastewater service shall be just and reasonable. Every unjust
45 or unreasonable rate or charge demanded or received by a municipality is
46 prohibited and unlawful.

47 F. A municipality may not assess or collect a fee on new water or
48 wastewater service connections at the time of the establishment of service
49 to those connections for the purpose of recovering the municipality's

1 costs of acquiring, whether by purchase or by eminent domain, the utility
2 plant, facilities, system or other property of a public service
3 corporation or another municipality engaged in the business of providing
4 water or wastewater service. This subsection does not apply to water or
5 wastewater fees adopted before January 1, 2016 or to water or wastewater
6 fees included in a notice of intent to adopt or increase water or
7 wastewater rates and fees adopted before January 1, 2016.

8 G. For residential property of four or fewer units, a municipality
9 shall not require payment of unpaid water and wastewater service rates and
10 charges by anyone other than the person who the municipality has
11 contracted with to provide the service, who physically resides or resided
12 at the property and who receives or received the service. A property
13 owner, an immediate family member of the person who does not reside at the
14 property or any other entity, at its sole discretion, may contract for
15 water and wastewater service with a municipality and shall provide
16 payment.

17 H. For residential property of four or fewer units, a municipality
18 shall not refuse service within the municipality's service area for the
19 unpaid water and wastewater rates and charges to anyone other than the
20 person who physically resided and received the service at the property. A
21 property owner, at the owner's sole discretion, may contract for water and
22 wastewater service with a municipality and shall provide payment for that
23 service.

24 Enroll and engross to conform
25 Amend title to conform

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